



HAWAI'I APPLESEED
CENTER FOR LAW & ECONOMIC JUSTICE

HAWAI'I BUDGET PRIMER

FY2025–26



www.hiappleseed.org

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Hawai'i Appleseed is committed to a more socially and economically just Hawai'i, where everyone has genuine opportunities to achieve economic security and fulfill their potential. We change systems to address inequity and foster greater opportunity by conducting data analysis and research to address income inequality, educating policymakers and the public, engaging in collaborative problem solving and coalition building, and advocating for policy and systems change.

The work of Hawai'i Appleseed is about people. The issues we work on—housing, food, wages, mobility, the state budget and taxation, and racial and indigenous equity—are important because they ensure people have access to shelter, sustenance, and the means to survive and thrive individually and collectively. Addressing these issues requires the knowledge and expertise of the people that have first-hand experience and live with the adverse consequences of our flawed systems.

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BUDGET BASICS

THE INVESTMENTS that Hawai‘i’s government makes in its people through the state budget should reflect our shared priorities and values. This budget primer is intended to help readers understand how our state budget works and to encourage budget and policy decisions that improve the lives of Hawai‘i’s people.

The state budget funds Hawai‘i’s three government branches: the Legislature; the Judiciary; and the Executive. A small portion funds the Office of Hawaiian Affairs (OHA) as well. More than 99 percent of the state budget goes toward funding the executive branch.



Legislature

- Creates laws and decides how the state’s money is spent.
- Consists of the State Senate and House of Representatives, Office of the Auditor, Office of the Ombudsman, and the Legislative Reference Bureau.



Judiciary

- Interprets laws and resolves legal cases through the court system.
- Consists of the Hawai‘i Supreme Court, Intermediate Court of Appeals, Land Court, Tax Appeal Court, Circuit Courts, Family Courts, District Courts, Environmental Courts, and Office of the Administrative Director of the Courts.



Executive

- Enforces state laws and manages the daily operations of the government.
- Consists of the Governor, Lieutenant Governor, State Departments, and the University of Hawai‘i System.



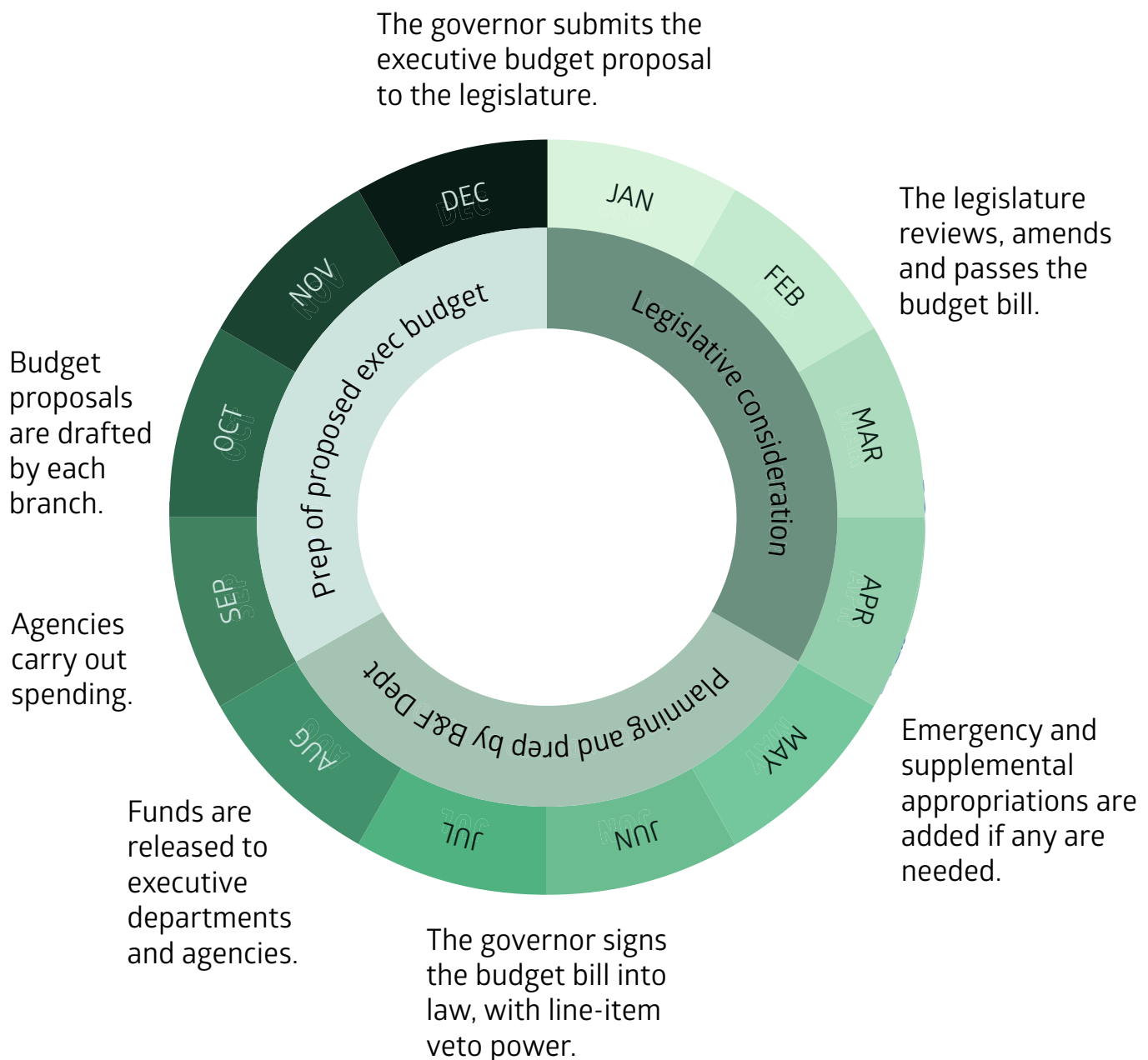
Office of Hawaiian Affairs

- A semi-autonomous state agency responsible for improving the wellbeing of Native Hawaiians.
- Legislative appropriations represent only a small portion of OHA’s resources.

Budget Process

Hawai'i uses a two-year (biennial) budget cycle. The full budget is passed in odd-numbered years, and adjustments can be made in the second year. Fiscal Years (FY) cover July 1 through June 30, labeled by the calendar year in which they end (e.g. FY 2026 runs from July 2025 through June 2026).

Figure 1. Hawai'i Budget Lifecycle



HOW MONEY IS SPENT

Government spending is essential for the economy, especially in times of crisis. The executive branch alone employs over 47,000 workers, not including contractors.¹ These workers are responsible for running Hawai‘i’s departments and agencies—a task that is only made possible with billions of dollars in funding.

There are three types of spending: operating, capital improvement, and one-time/emergency appropriations.

**Operating Budget**

- Regular funding for state agencies, public services, and programs.

**Capital Improvement Appropriations**

- Funds to build, maintain, or improve infrastructure, such as roads, schools, and hospitals.

**One-Time & Emergency Appropriations**

- Temporary funding for unexpected needs, such as disaster response or special projects.

Since it manages the state’s departments and agencies, the Executive Branch receives almost all of the funds in each spending category.

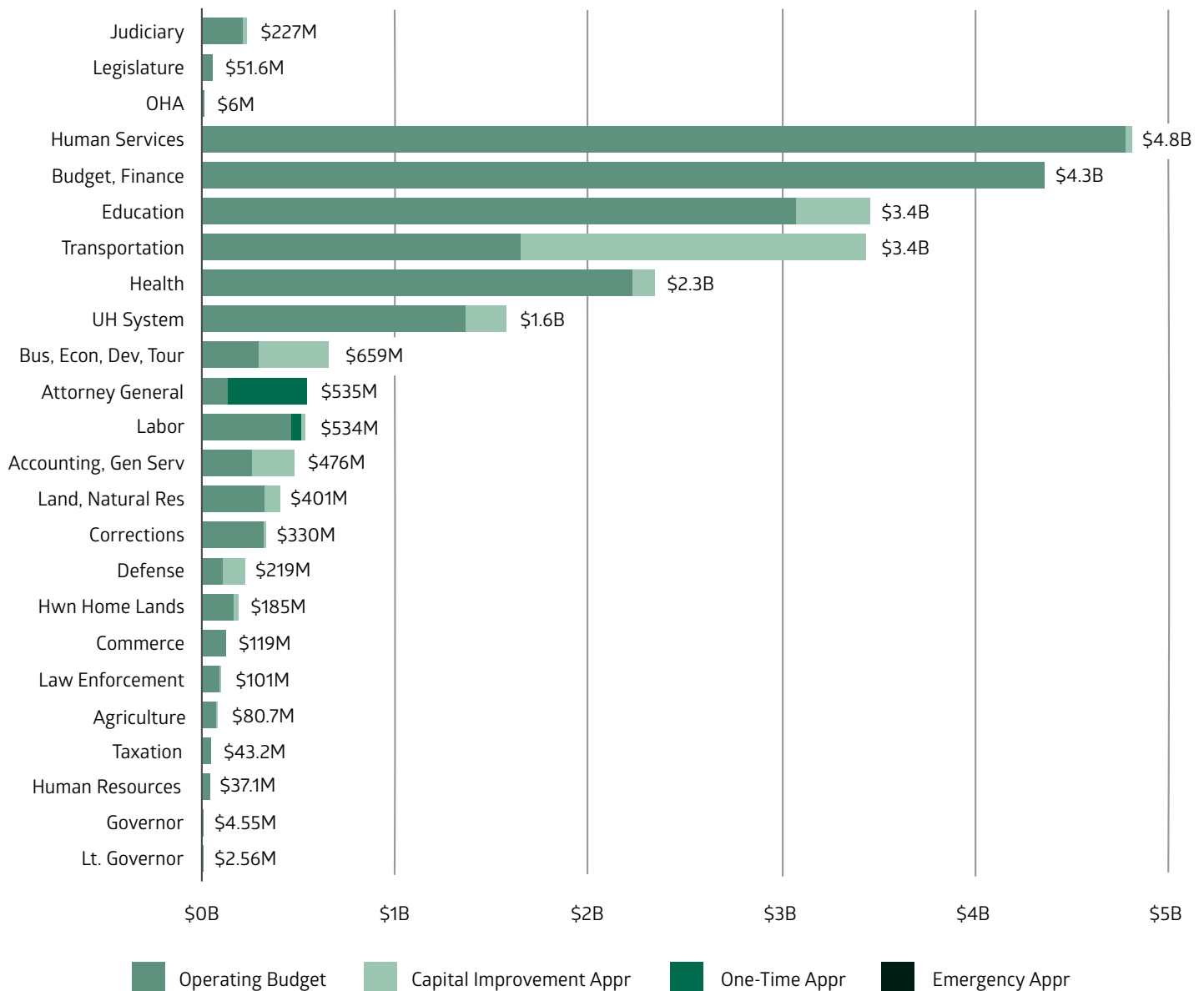
Table 1. Budget Breakdown by Branch and Spending Category, Hawai‘i, FY 2025–26

	Executive ²	Judiciary ³	Legislature ^{4 5}	OHA ⁶
Operating Budget	\$19.88 billion	\$214.57 million	\$51.63 million	\$6 million
Capital Improvement Appropriations	\$3.38 billion	\$12.9 million	\$0	\$0
One-Time Appropriations	\$450.67 million	\$0	\$0	\$0
Emergency Appropriations	\$121.83 million	\$4.7 million	\$0	\$0
Total	\$23.83 billion	\$232.17 million	\$51.63 million	\$6 million

Spending Categories

Operating Budget

Figure 2. Hawai'i State Budget by Branch and Department, FY2026



The Executive departments with the largest overall budgets are the Departments of Human Services, Budget and Finance, Education, and Transportation. The Department of Health has a larger operating budget than the Department of Transportation (DOT), but DOT has a Capital Improvement Appropriations budget that is roughly the same size as its operating budget—large enough to give it an overall budget that is the same size as the Department of Education (DOE). The DOE operating budget covers K–12 public school teacher salaries statewide.

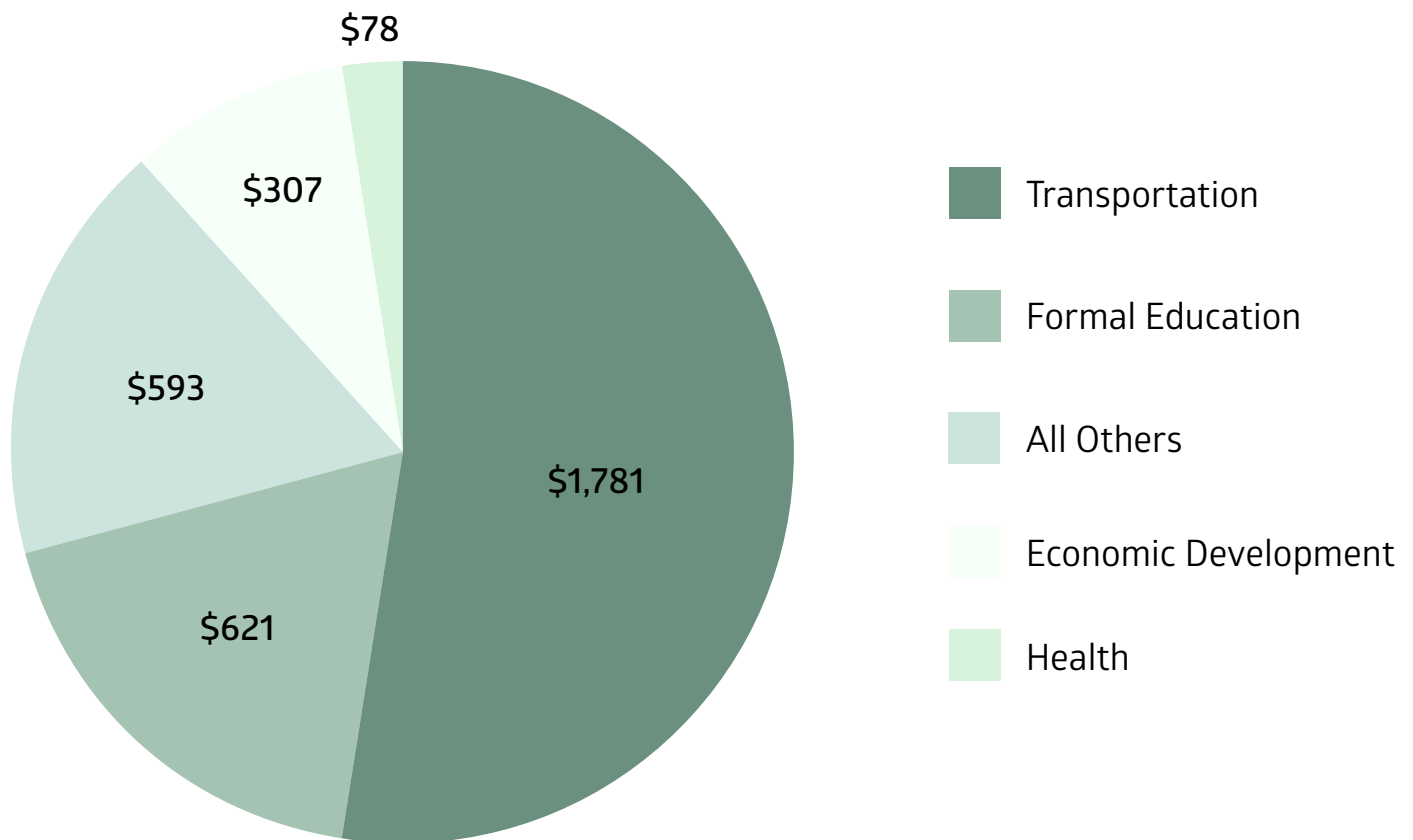
Obligated Costs

Before the state can consider any other spending, the Hawai'i constitution says it must pay its non-negotiable obligated costs. These costs include pensions, health benefits, Medicaid, and debt payments—and they are worth \$5 billion, or a quarter of the state's operating budget. The share of the operating budget that these costs consume is increasing each year, limiting the state's flexibility for new investments in areas like housing, schools, economic development and climate resilience.

Except for Medicaid expenses, which are included in the budget for the Department of Human Services, the costs named above are covered by the Department of Budget and Finance. These two departments have the largest operating budgets, and obligated costs are a significant share for each.

Capital Improvement Appropriations

Figure 3. Distribution of Capital Improvement Project Funding, FY2026 (\$Millions)



The total budget for Capital Improvement Projects (CIP) in FY2026 is \$3.38 billion. Transportation-related projects usually take up more than half of the CIP budget. This money is necessary for maintaining, among other things, the state's airports, harbors, and its 2,433 miles of roads and highways.⁷



On May 30, 2025, advocates and lawmakers joined Governor Josh Green at Washington Place as he signed [Senate Bill \(SB\) 1300](#) into law as [Act 139](#). The law includes several components, including a one-time appropriation to the Department of Education in FY26 and another in FY27 to expand subsidized meal access to public school students from households in the Asset-Limited, Income-Constrained, Employed (ALICE) category. // Will Caron, Hawai'i Appleseed

One-Time and Emergency Appropriations



FY26 One-Time Appropriations

- Labor: \$50 million in grants for Hawai'i nonprofits at risk of federal funding cuts.⁸
- Attorney General: \$400 million for the Maui wildfires settlement trust.⁹
- Education: \$565,000 to begin expanding free school meal access, making currently reduced-priced meals free. Another one-time appropriation in FY27 will expand coverage to cover all ALICE households.¹⁰
- Commerce: \$100,000 for a study on rising apartment insurance policy premiums.¹¹

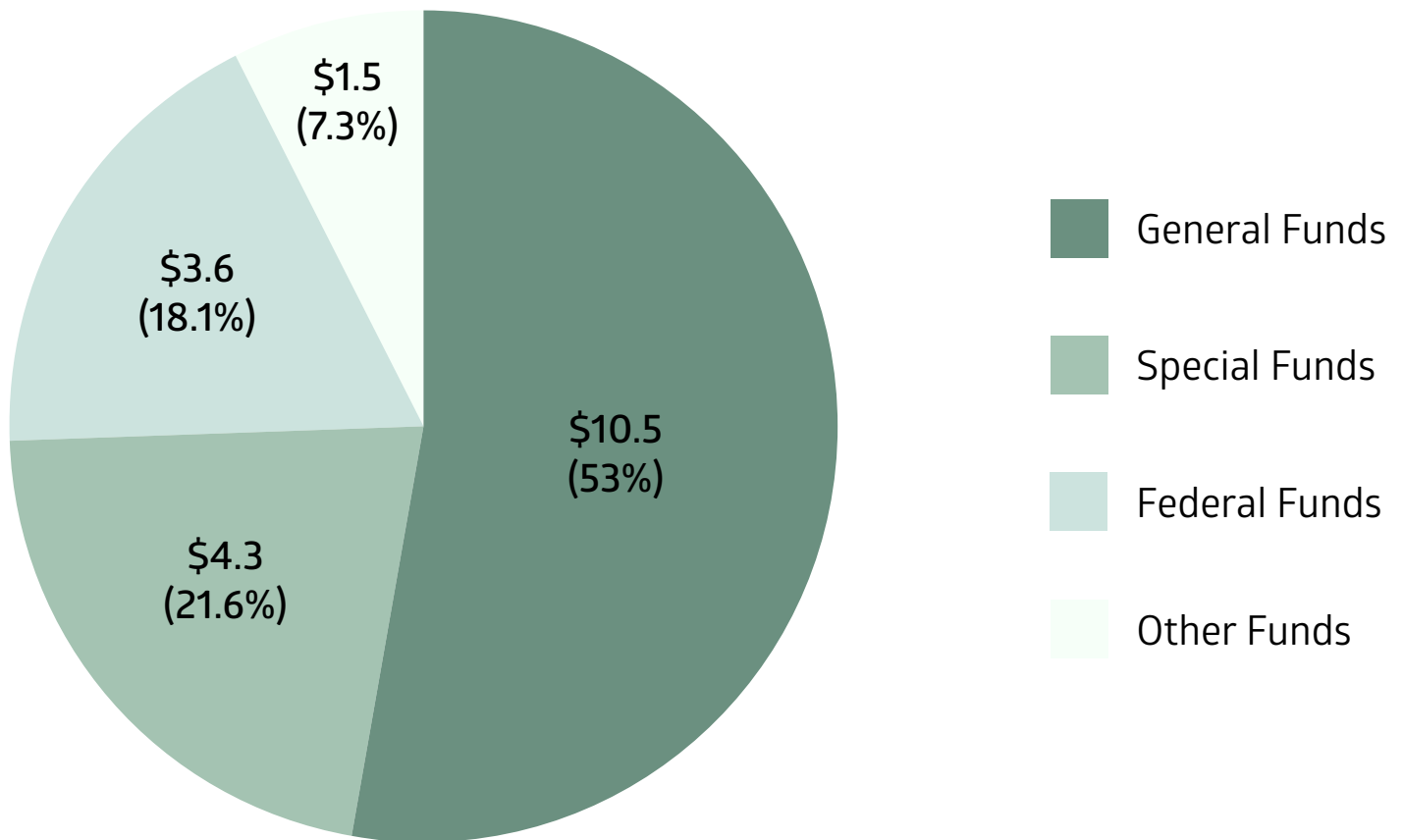


FY26 Emergency Appropriations

- Various Executive Departments: \$105,698,787 in collective-bargaining cost items for state workers and Hawaii Health Systems Corporation pay adjustments.¹²
- Health: \$10,660,000 to fix construction defects, water damage, and mold at the Hawai'i State Hospital (Hale Ho'ola).¹³
- Human Services: \$5,467,164 from a 50 percent reinvestment of the \$10.93 million SNAP payment-error penalty imposed by the federal government to fund a new Benefits Eligibility Solution.¹⁴

FUNDING THE BUDGET

Figure 4. Hawai'i Budget Means of Finance, FY2026 (\$Billions)¹⁵



The state's spending primarily falls under three main categories: general funds, special funds and federal funds.



General Funds

- General funds are mostly made up of tax revenue. The main pot of state money, these funds can be used for almost any state need.



Special Funds

- Money from tuition, fees, settlements, etc., special funds can only be spent on a specific purpose, often related to the revenue source.

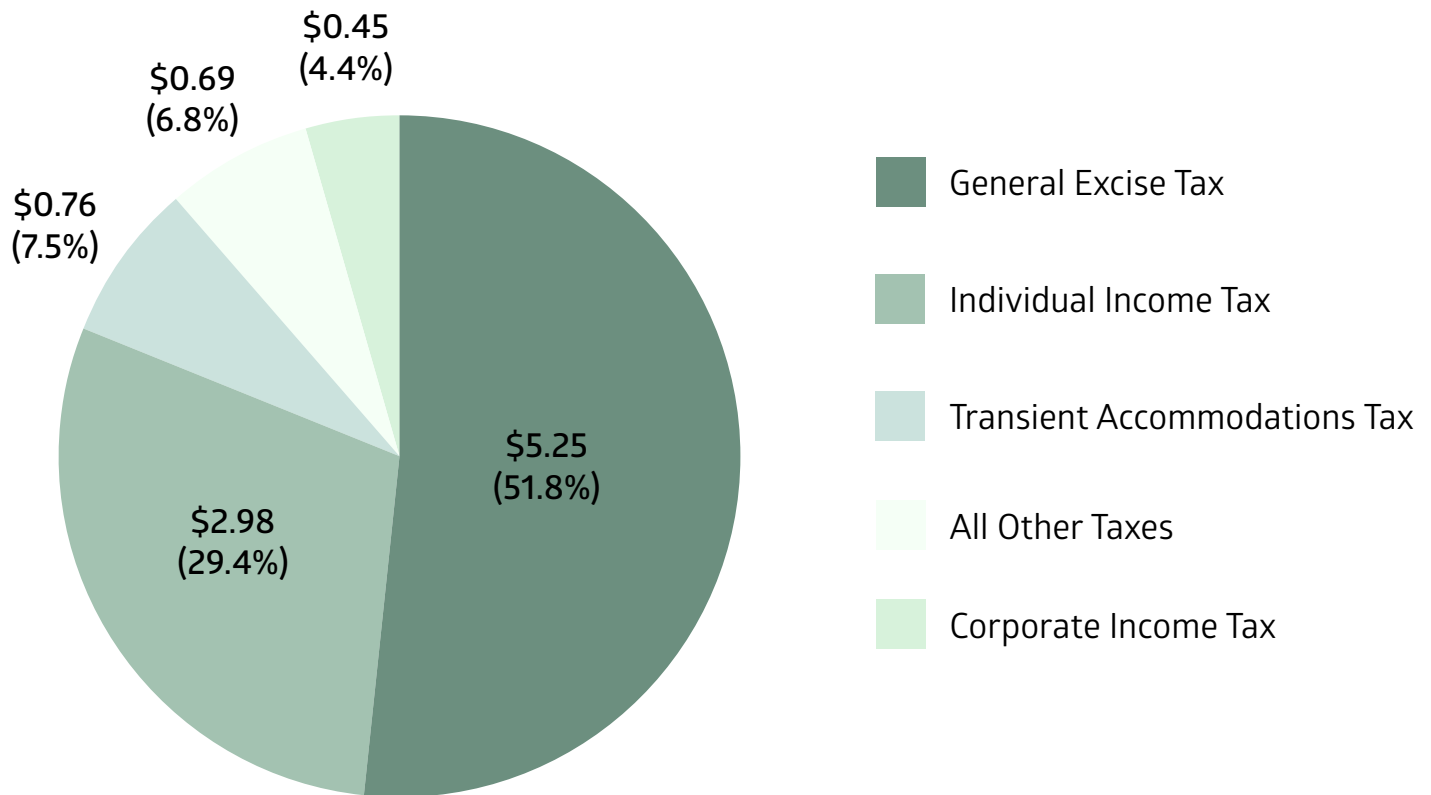


Federal Funds

- Federal funds are monies provided to the state by the federal government, almost always in the form of grants.

Taxes

Figure 5. Projected Hawai'i State Tax Revenue, FY2026 (\$Billions)¹⁶



General Excise Tax

- The GET is a tax on the sale of goods and services such as retail purchases and rent. Hawai'i relies on the GET for half of the state's tax revenue, but the tax increases the cost of living and hits low-income families the hardest.



Individual Income Tax

- Hawai'i taxes those with high incomes at a higher marginal rate. Act 46 (2024) reduced income taxes for most people. However, these tax cuts cost the state budget \$240.3 million in FY25. By FY32, the cuts will cost \$1.45 billion annually.¹⁷

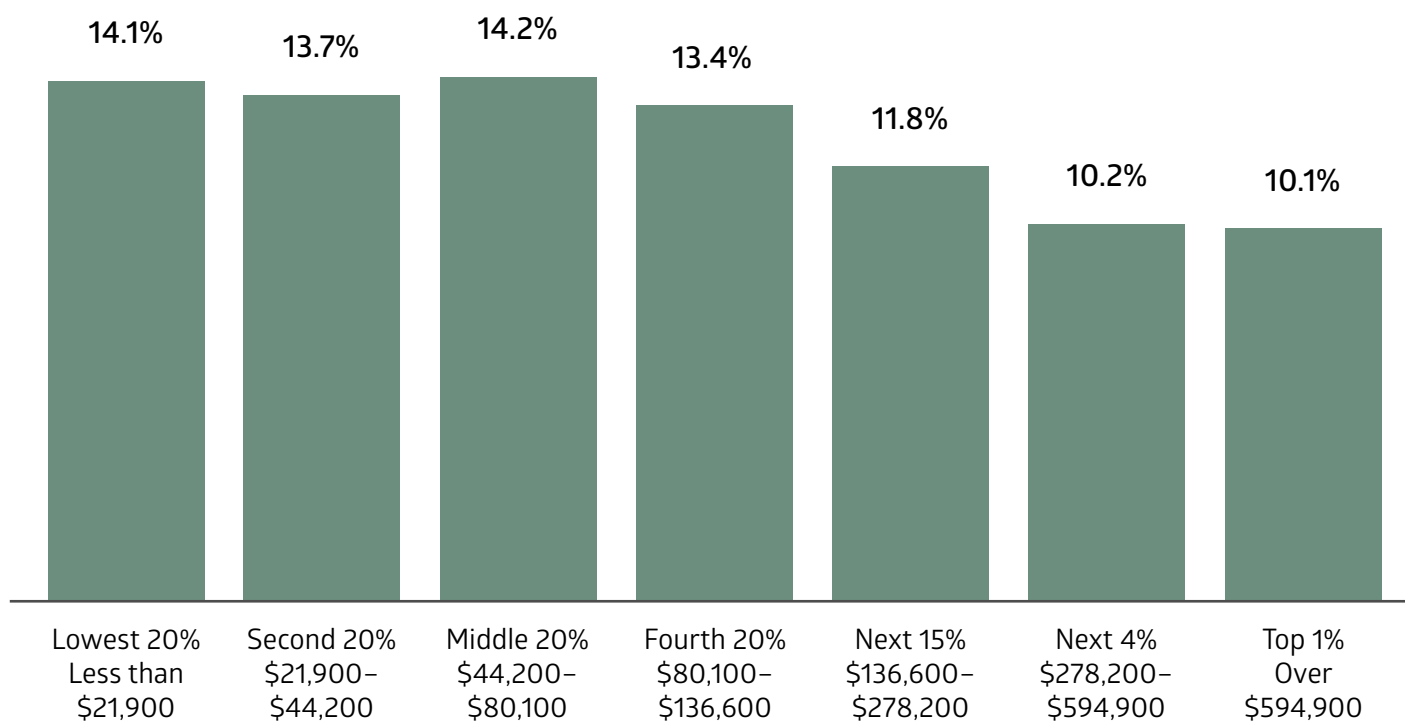


Transient Accommodations Tax

- The TAT is a tax on hotel rooms, short-term rentals and cruise ships. It is paid mainly by tourists and supports the general fund and special funds for tourism promotion, resource management, climate resiliency and economic development.

Who Pays These Taxes?

Figure 6. Percentage of Income Paid in State and Local Taxes by Household Income Quintile (2024)¹⁸



In Hawai‘i, low- and middle-income families spend a larger share of their already stretched-thin income on state and local taxes compared to wealthy families. This is due almost entirely to the General Excise Tax, which is charged on basic needs like food, clothes and rent. When a low-income person and a wealthy person purchase the same groceries, they pay the same dollar amount of tax. However, that dollar amount represents a much larger chunk of the low-income person’s paycheck, making it much harder to budget for—and too often keeping low-income families trapped in cycles of poverty, debt and income insecurity.

Tax Credits

Tax credits are an effective tool available to lawmakers that are designed to lower or even eliminate the tax liability owed to the state by people or businesses. The purpose of these tax credits is to stimulate the economy by reducing costs either for businesses or struggling families that need help purchasing their basic necessities.

In 2022, the state gave out \$433.9 million in tax credits.¹⁹ Out of this amount, only \$111 million went to tax credits for lower-income households, such as the Earned Income Tax Credit and Refundable Food/Excise Tax Credit. A larger amount—\$168 million—went to tax credits for wealthier taxpayers and businesses, such as the Renewable Energy Technologies Tax Credit and Film/Media Production Credit.

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